Ivar Project — Production Flow Document

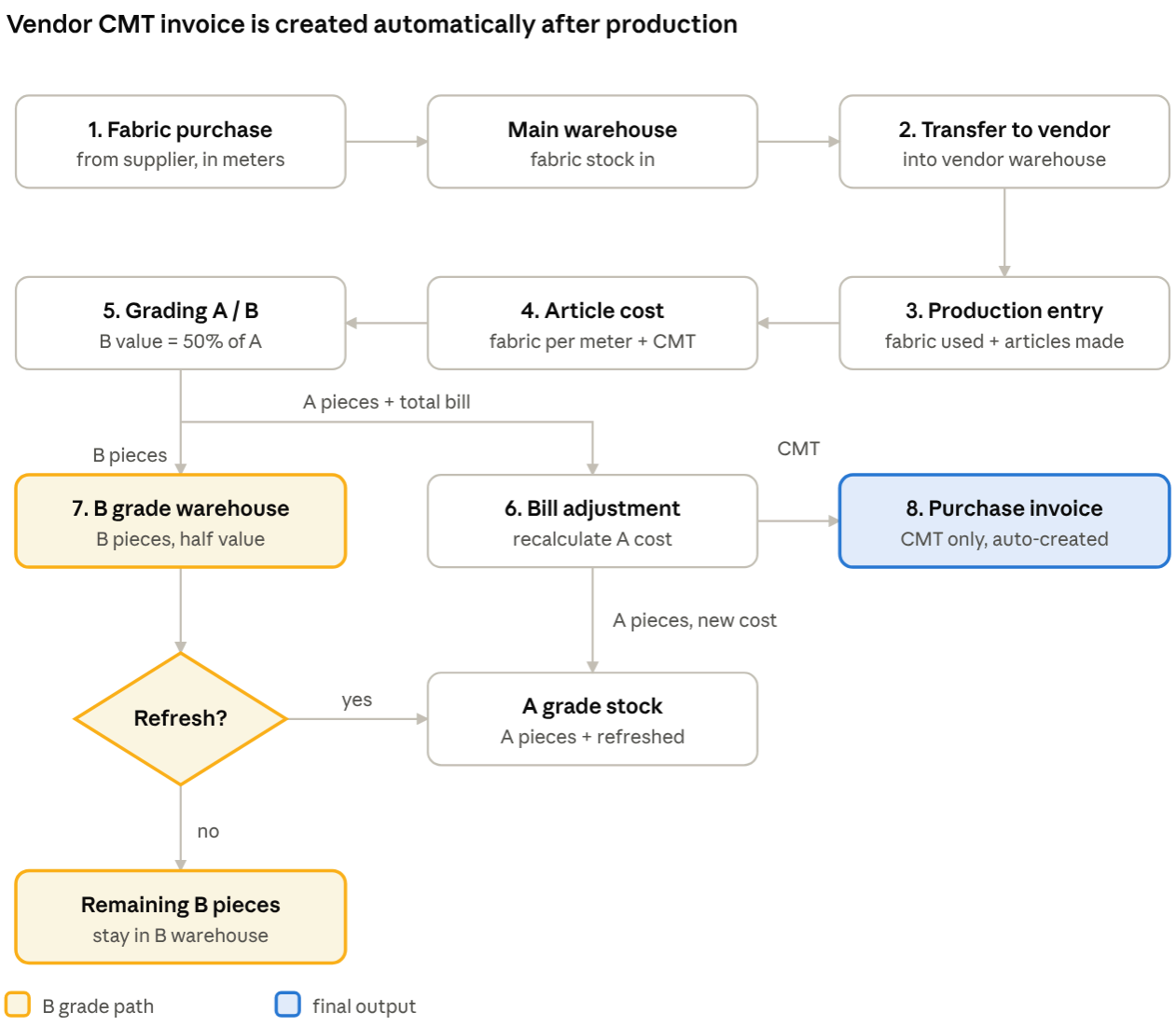
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Overview

The Ivar production flow runs from fabric purchase to the vendor's purchase invoice, and the system handles every step: fabric is purchased and moved to the vendor's warehouse, consumption and finished articles are recorded in production, article cost is calculated, B grade is separated, and a purchase invoice is created automatically.

This document gives the development team and the accounts team one agreed flow, one set of costing rules and one view of stock movement.

Flow graph



Ivar production flow · 8 steps, 1 refresh decision

The flow runs row by row: purchase and vendor transfer, then production, costing and grading. B grade follows the yellow path to the B warehouse and returns to A grade stock if refreshed; the invoice is created at the end.

Step-by-step flow

The flow has 8 stages; the output of each stage is the input of the next.

1. **Fabric purchase:** Fabric is purchased from the supplier and stocked in at the main warehouse (in meters, with a rate per meter).
2. **Transfer to vendor:** Fabric moves from the main warehouse to the vendor's warehouse. Fabric from different purchases is not mixed within a vendor batch, so each batch has a single rate per meter.

3. **Production consumption:** The production entry records how much fabric (meters) the vendor used and how many articles were made. Consumption is tracked in meters per piece.
4. **Article cost:** Article cost = fabric cost per meter x meters per piece + the vendor's CMT value.
5. **Grading (A / B):** B grade articles are separated from the received articles. B grade is always valued at 50% of the A grade cost.
6. **Bill adjustment and A grade recalculation:** The total B grade value is deducted from the total bill (article cost). The remaining amount is divided across the A grade pieces, which gives the new A grade cost.
7. **B grade warehouse and refresh:** B grade articles move to a separate B warehouse and are sent from there for refresh. Refreshed articles are added to A grade stock at the A grade value; the rest stay in the B warehouse. A separate purchase invoice is also created for the refreshed articles.
8. **Auto purchase invoice:** After production completes, the system creates the vendor's purchase invoice automatically. The invoice covers the vendor's CMT only. Once the invoice is approved, the batch costing is locked.

Costing rules

Article cost is built from fabric and CMT, B grade is valued at half of A grade, and the B grade value is deducted from the total bill to recalculate the A grade cost.

1. Article cost (before grading)

> Article cost = (Fabric rate per meter x Meters per piece) + Vendor CMT

2. Total bill (total article cost)

> Total bill = Article cost x Total pieces received (A + B)

3. B grade value (50% of A grade cost)

> B value per piece = Article cost x 50%

4. New A grade cost

> New A cost = (Total bill - Total B value) / A pieces
>
> where Total B value = B pieces x B value per piece

Worked example: MENS 2.0 KOREAN ADJUSTABLE

Real production figures: 2,700 meters of fabric used, 1,887 pieces received (A + B), 19 of them B grade, fabric rate Rs 875 per meter, and vendor CMT Rs 785 per piece. All amounts are in Rs. Calculations use unrounded values, so a displayed figure can differ by Rs 1 from a hand calculation on rounded numbers.

Step	Calculation	Result
Consumption per piece (CONS)	2,700 m / 1,887 pcs	1.43 m
Fabric cost per piece	1.43 m x 875	1,252
Garment cost net (article cost)	1,252 + 785 CMT	2,037
Total bill (A + B)	2,037 x 1,887 pcs	3,843,795
B unit value (50%)	2,037 x 0.5	1,018
B total value	19 pcs x 1,018.5	19,351
A total value	3,843,795 - 19,351	3,824,444
A pieces	1,887 - 19	1,868
A unit value (new A cost)	3,824,444 / 1,868 pcs	2,047

The A grade cost for the 1,868 pieces rises from Rs 2,037 to Rs 2,047 per piece, because the loss on the 19 B grade pieces (Rs 19,351 less than their full cost) is spread across A grade. These are total article costs (fabric + CMT); the vendor invoice covers CMT only.

Warehouses aur stock movement

The system has 4 stock locations, and every transaction moves stock between them.

Warehouse	Stock held	Stock comes in	Stock goes out
Main warehouse	Fabric (meters)	On fabric purchase	On transfer to vendor
Vendor warehouse	Fabric held by vendor	On transfer from main warehouse	On production consumption entry
A grade stock	Finished A grade articles	On production receipt (A pieces) and after refresh	Outside the scope of this document

Warehouse	Stock held	Stock comes in	Stock goes out
B grade warehouse	B grade articles	On production receipt (B pieces)	After refresh, when moved to A grade

Auto purchase invoice

After production completes, the system creates the vendor's purchase invoice automatically; the invoice covers the vendor's CMT only and needs no manual entry.

- The invoice is raised in the vendor's name and covers the CMT value only; fabric cost is not included.
- Refreshed articles get their own separate purchase invoice.
- Once an invoice is approved, the costing of that batch is locked.

Assumptions and open questions

Confirmed: refreshed articles enter A grade stock at the A grade value, B grade is always 50%, the vendor invoice covers CMT only, consumption is per piece in meters (total meters / pieces), costing locks after invoice approval, and fabric is not mixed. Still to confirm:

- [ ] **B grade and the CMT invoice:** Is the full CMT for B grade pieces included in the invoice, or is CMT reduced on B pieces? (The 50% B value applies to article cost, not to CMT.)
- [ ] **Refresh invoice amount:** What does the vendor charge for a refresh: the same CMT, or a separate refresh rate?
- [ ] **Refresh costing:** Refreshed articles take the A grade value (the new A cost), so where is the difference from their 50% B value adjusted?
- [ ] **Approval:** Who approves the invoice, and are the refresh invoices approved and locked separately?